THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
SPECIAL BENCH (COURT-II)

(CAA)-83/ND/2021

Connected with CA (CAA)-32/ND/2021

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

AND

In the matter of Scheme of Arrangements

OF

Gupta Dyefab Private Limited
R/o : Chamber No.1517,
15th Floor, Devika Tower, 6, Nehru Place,
New Delhi- 110019

...(Applicant Company 1/Transferor No.1 Company)

AND

Skyhigh Promoters Private Limited
S-524, Room No.201, Agarwal Chamber,
Shakarpur, Vikas Marg,
New Delhi – 110092

...(Applicant Company 2/Transferor No.2 Company)

AND

Highrise Buildcon Private Limited
S-524, Room No.201, Agarwal Chamber,
Shakarpur, Vikas Marg
New Delhi - 110092

...(Applicant Company 3/Transferee Company)

Order Pronounced on: 06.04.2022

CORAM:

SH. BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : CS Deepak Bnasal, CA Girish Nathani
Ms. Hemlata Rawat, Adv.

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This joint Application has been filed under the provisions of Sections 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approval of Scheme of Amalgamation (for brevity **"the Scheme"**) of Transferor Companies into Transferee Company.

2. A perusal of the Application discloses that initially the First Motion application was filed before this Tribunal vide CA(CAA)-32/ND/2021 moved under Sections 230-232 of the Companies Act, 2013 and vide order dated 05.04.2021, directions were issued by this Tribunal for dispensing the meetings of the Equity shareholders, Secured Creditors and Unsecured Creditors of all the Applicant Companies.

3. Thereafter the 2nd Motion petition has been filed on 27.07.2021 vide (CAA) No. 83(ND)/2021 within the prescribed time limit and vide order dated 05.08.2021 the Applicant Companies were directed to carry out publication in the newspapers namely, 'Business Standard (English Delhi Edition) and "Business Standard" in (Hindi, Delhi Edition). In addition to the public notice, notices were directed to be served on to the Central government through Regional Director (Northern Region), Registrar of Companies (NCT of Delhi and Haryana), Official Liquidator, the Income Tax Department, New Delhi and to the other relevant sectoral regulators.

4. It is seen from the records that the Transferee Company has filed affidavit dated 13.10.2021, affirming compliance of the order dated 05.08.2021 passed by this Tribunal. A perusal of the affidavit reveals that the Transferee Company has affected newspaper publication as directed in the Business standard (English Edition) and Business Standard (Hindi Edition) dated 18th August 2021. The copy of original cuttings of the newspapers are annexed with the application. Further, the Transferee Company has affirmed that the copy of Application have been duly served upon the Registrar of Companies, Regional Director (Northern Region), Official Liquidator, Income Tax Department at the Delhi High Court, Reserve Bank of India. It is also clarified by the applicant companies that there are no other sectoral authorities.

5. The Official Liquidator, vide its report dated 22.10.2021, has submitted that the they have not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest. Hence, they do not have any objection if the proposed Scheme of amalgamation is allowed. The relevant extract of the report of OL are reproduced below :

creditors of the Transferee Company.

15. That the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report.

16. That the report of Official Liquidator is based upon the documents/reply submitted by the petitioner companies. Balance sheet, Memorandum and Article of Association and other documents furnished by the petitioner companies has not been enclosed with the report as the same are already on records of National Company Law Tribunal.

17. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956 / the Companies Act, 2013 whichever is applicable.

18. That in view of the submission made above the Hon'ble National Company Law Tribunal may like to pass such order/orders as deemed fit and proper in the facts and circumstance of the case.

PLACE: NEW DELHI
DATE: 22 /10/2021

(VINOD SHARMA)
OFFICIAL LIQUIDATOR
DELHI HIGH COURT

6. The Regional Director (Northern Region) has filed an affidavit dated 24.11.2021 and made certain observations in respect of the Scheme. The scanned copy of the report is reproduced below :

11. On examination of the Scheme and the reply submitted by the Petitioner Companies, and apart from the observation given by the ROC stated in para-10 above, the observations of the Deponent are as under:

i. On perusal of the contents of the scheme, reply of the Petitioner Companies and apart from the observations given by ROC, NCT of Delhi & Haryana in their report dated 04.10.2021 as referred in para-10 above, the observation of the Deponent are as under:

a. As regards the observation of ROC in para-10 (a) & (b), it is found that the Petitioner Transferor Companies have complied with the requisite provisions of the Act by filing e-form MGT-14 and also e-form BEN-2 in MCA Portal.

b. Para-19 of the scheme speaks as under:

"No reduction is proposed in the paid-up share capital of the Transferee Company upon the scheme being sanctioned and finally effective.

As the Transferor Companies will be dissolved upon the scheme being sanctioned and finally effective, their paid-up share capital will be cancelled and share certificates held by shareholders of these companies shall also stand cancelled".

The above statement given in 1st para of para-19 of the scheme speaks about no reduction of share capital in the Transferee Company through the scheme which is not correct since as per the shareholding pattern of the Transferor Company 1 and 2, both have hold equity shares in the share capital of the Transferee company. On approval of the scheme both of the Transferor Companies shall be dissolved without winding-up with effect from the Effective Date of the scheme, hence the shares hold by them in the Transferee Company will be extinguish with effect from the Effective Date.

Therefore, such extinguishment of share in the share capital of the Transferee Company attracts reduction of share capital. In view of the above it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to delete such contention i.e. *"No reduction is proposed in the paid-up share capital of the Transferee Company upon the scheme being sanctioned and finally effective"* from the scheme.

The above submissions are made in para 1 to 11 above after having examined the scheme, reply of Petitioner companies and Registrar of Companies for kind consideration of Hon'ble NCLT for passing of orders as may be deemed fit and proper in the facts and circumstances of the case.

7. That from perusal of the aforesaid report, it is seen that the RD has observed that although the Applicant Companies in the proposed Scheme have stated that no reduction of share capital of the Transferee Company shall take place whereas, the reduction of Share Capital is taking place post-amalgamation.

8. The Applicant companies vide separate affidavits had filed reply to the observations made by the RD. That the Applicant Companies have relied upon the following two clauses stipulated in the Scheme :

> Para 11.2 – "The *share capital in the Transferor Company/ies, if any, held by the Transferee Company and vice –versa shall accordingly cancelled.*"
>
> Para 18.1 - "*However, cross holdings of shares among the transferor and transferee companies, wherever applicable, would be cancelled on the registration of scheme.*"

9. The Applicant Companies, in order to support their averments, have relied upon the case of Hon'ble High of Bombay in the case of "***M/s EOC Tailor Made Polymers India Private Limited (2005 Vol.107(2) BOM.L.R.520)*** and ***Asian Investment Ltd. (1992) C.C.517*** as well as on the case of Calcutta High Court in ***Mcleod and Co and Ors. S.K. Ganguly and ors. (1975) C.C. 563*** wherein, it has been stated that it is not necessary to follow the prescribed procedure of Section 101 of the Companies Act,1956 in a case where reduction of share capital is automatic virtue of operation of law.

10. It has been further stated by the Applicant Companies that reduction of capital is an automatic effect of amalgamation as the shares held by the Transferor Companies have to be cancelled once the Transferor Companies stands dissolved on approval of Scheme.

11. That after hearing submissions of the RD and reply given by the Applicant to the observations made by the RD, this Bench is of the view that the Transferee Company will cancel from its capital, the shares held by Transferor Companies only, and not of any other shareholder.

12. That in our considered view, the reduction of share capital in the instant case is a consequence which will follow due to cancellation of the shares held by Transferor Companies in the Share Capital of the Transferee Company. That the said cancellation is in accordance with law since on approval of Scheme, the Transferor Companies shall stand dissolved and will lose their separate legal existence. It is a trite law that a Company, which cease to exist cannot hold shares in any Company. Hence, in our view no prejudice would be caused to anyone if such cancellation of shares results in reduction of share capital.

13. That the Scheme has not been objected by any of the Creditors or Shareholders of any of the Applicant Companies. Hence, we are inclined to proceed ahead with the matter.

14. The Applicant Companies have affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the Applicant Companies.

15. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the Applicant companies to the proposed scheme, as well as in terms of the reports filed by the Regional Director, (northern region), and official liquidator and further considering the affidavit of undertaking filed by the Transferee Company, there appears to be no impediment in sanctioning the present Scheme. **Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013.** The Applicant Companies shall, however, remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, director and officials of the Applicants.

17. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

18. **THIS TRIBUNAL FURTHER ORDER(S) :**

a) That upon sanction of the Scheme becoming effective from the Appointed date i.e., 01.04.2020, both the Transferor Companies shall stand dissolved without undergoing the process of winding up;

b) That all the property, rights and powers of both the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vets in the Transferee Company;

c) That all the liabilities and duties of the both the Transferor Companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company;

d) That all proceeding now pending by or against the Transferor Companies be continued by or against the transferee company;

e) That all the employees of both the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date shall become the employees of the Transferee Company on such date without any break or interruption in services and upon terms and

conditions not less favorable than those subsisting in the respective transferor companies on the said date; and

f) That any person interested shall be at liberty to apply to the tribunal in the above matter for any directions that may be necessary.

19. That the Applicant Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20. The Application stands **allowed** in the above terms.

-Sd-

(L.N. Gupta)
Member (T)

-Sd-

(Bachu Venkat Balaram Das)
Member (J)